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CHAPTER I
INTRODUCTION

INTRODUCTION

Cash Management Definition:

Cash management is a marketing term for certain services offered primarily to larger business customers. It may be used to describe all bank accounts (such as checking accounts) provided to businesses of a certain size, but it is more often used to describe specific services such as cash concentration. zero balance accounting, and automated clearing house facilities. Sometimes, private bank customers are given cash management services. Before we define cash management, we need to understand the difference between

Activities and Products:

Activities are basic components of work done in a bank (e.g. account opening, statement rendition, query handling, debiting an account, etc.)

Cash is the important current asset for the operations of the business. Cash is the basic input needed to keep the business running on a continuous basis; it is also the ultimate output expected to be realized by selling the service or product manufactured by the firm. The firm should keep sufficient cash, neither more nor less. Cash shortage will disrupt the firm's manufacturing operations while excessive cash will simply remain idle, without contributing anything towards the firm's profitability. Thus, a major function of the financial manager is to maintain a sound cash position.

FACETS OF CASH MANAGEMENT

Cash management is concerned with the managing of:

1. Cash flows into and out of the firm,
2. Cash flows within the firm, and
3. Cash balances held by the firm at a point of time by financing deficit or investing surplus cash. Sales generate cash which has to be disbursed out.

The surplus cash has to be invested while deficit has to be borrowed. Cash management seeks to accomplish this cycle at a minimum cost. At the same time, it also seeks to achieve liquidity and control. Cash management assumes more importance than other current assets because cash is the most significant and the least productive asset that a firm holds. It is significant because it issued to pay the firm's obligations. However, cash is unproductive. Unlike fixed assets or inventories, it does not produce goods for sale. Therefore, the aim of cash management is to maintain adequate control over cash position to keep the firm sufficiently liquid and to use excess cash in some profitable way.

Cash management is also important because it is difficult to predict cash flows accurately, particularly the inflows, and there is no perfect coincidence between the inflows and outflows of cash. During some periods, cash outflows will exceed cash inflows, because payment of taxes, dividends, or seasonal inventory builds up. At other times, cash inflow will be more than cash payments because there may be large cash sales and debtors may be realized in large sums promptly. Further, cash management is significant because cash constitutes the smallest portion of the total current assets, yet management's considerable time is devoted in managing it. In recent past, a number of innovations have been done in cash management techniques. An obvious aim of the firm these days is to manage its cash affairs in such a way as to keep cash balance at a minimum level and to invest the surplus cash in profitable investment opportunities. In order to resolve the uncertainty about cash flow prediction and lack of synchronization between cash receipts and payments, the firm should develop appropriate strategies for cash management. The firm should evolve strategies regarding the following four facets of cash management.

Optimum Utilization of Operating Cash:

Implementation of a sound cash management programme is based on rapid generation, efficient utilization and effective conversation of its cash resources. Cash flow is a circle. The quantum and speed of the flow can be regulated through prudent financial planning facilitating the running of business with the minimum cash balance. This can be achieved by making a proper analysis of operative cash flow cycle along with efficient management of working capital. Cash Forecasting:

Cash forecasting is backbone of cash planning. It forewarns a business regarding expected cash problems, which it may encounter, thus assisting it to regulate further cash flow movements. Lack of cash planning results in spasmodic cash flows.

Purpose of Cash Management

Cash management is the stewardship or proper use of an entity's cash resources. It serves as the means to keep an organization functioning by making the best use of cash or liquid resources of the organization.

The function of cash management at the U.S. Treasury is threefold:

l. To eliminate idle cash balances. Every dollar held as cash rather than used to augment revenues or decrease expenditures represents a lost opportunity. Funds that are not needed to cover expected transactions can be used to buy back outstanding debt (and cease a flow of funds out of the Treasury for interest payments) or can be invested to generate a flow of funds into the Treasury's account. Minimizing idle cash balances requires accurate information about expected receipts and likely disbursements.

2. To deposit collections timely. Having funds in-hand is better than having accounts receivable. The cash is easier to convert immediately into value or goods. A receivable, an item to be converted in the future, often is subject to a transaction delay or a depreciation of value. Once funds arc due to the Government, they should be converted to cash-in-hand immediately and deposited in the Treasurys account as soon as possible.

NEED FOR THE STUDY

The main purpose behind this project is to know how the debts were procured by Sree Rayalaseema Hi-Strength Hypo Ltd. study is on internal financing pattern of the debtor's receivables relating to the wing of cash management to achieve more customers with better excellence of policies relating to domestic economy of the company. Therefore, for clear analysis is to made to know the reason & find out the measures to be taken to be taken make the organization more successful in acquiring debt amount form its customers.

OBJECTIVES

1.To study about Cashflow Optimization and Liquidity Management.

2.To study how to Reduce Costs.

3.To Analyse some ratios for receivables management.

RESEARCH METHODOLOGY

Methodology refers to the way adopted for collecting information for the purpose of drawing inferences. Methodology plays a vital role in the analysis of the study. Methodology is the science of system and a method of conducting a research work.

Data Collections:

The study is depending on the secondary data from sources.

www.bseindia.com

www.nseindia.com

www.moneycontrol.com

The secondary data that is required for the studying is collected form the past notes, budgets, through company websites and other statements provided by finance department of Sree Rayalaseema Hi-Strength Hypo Ltd

Data Analysis Tools

Ratio analysis: Ratio analysis can predict a company's future performance—for better or worse. Successful companies generally boast solid ratios in all areas, where any sudden hint of weakness in one area may spark a significant stock sell.

Types of Ratio Analysis

Profitability Ratios: These ratios measure a company's ability to generate profits and include metrics such as gross profit margin, operating profit margin, net profit margin, return on assets (ROA), and return on equity (ROE).

Liquidity Ratios: These ratios evaluate a company's short-term liquidity and its ability to meet its immediate financial obligations. Examples include the current ratio, quick ratio (acid-test ratio), and cash ratio.

Solvency Ratios: Solvency ratios assess a company's long-term financial stability and its ability to meet its long-term debt obligations. Key ratios include the debt-to-equity ratio, debt ratio, and interest coverage ratio.

SCOPE OF THE STUDY

The study is based mainly on secondary information. The act and figures of the study is limited to the period of Five years i.e. 2018-2023.An extensive study is done is on the blocking up of receivables and its retaining activities, and the factors determining these notes receivables. The study concentrates on the liquidity position of the firm, and a brief study is made on the techniques used by the firm.

LIMITATIONS OF THE STUDY

1. The study does not touch all the units of Sree Rayalaseema Hi-Strength Hypo Ltd.
2. The present study cannot be used for inter firm comparison.
3. Limited span of time is a major limitation for this project.

CHAPTER II
REVIEW OF LITERATURE

1.Jaroslav Mazanec’s 2022 study examines how cash and receivables management influences SMEs' financial performance in the Visegrad Group countries. Using panel data regression models, the study finds that firms with optimized receivables collection periods and cash reserves experience higher profitability and reduced financial distress. Companies that actively monitor overdue payments and implement structured collection policies achieve stronger liquidity positions. The study recommends that SMEs adopt data-driven receivables forecasting to maintain stability and reduce credit risks.
Direct Link: https://www.mdpi.com/2227-7390/10/6/951/pdf

2.Grzegorz Zimon & Hossein Tarighi’s 2021 study investigates how businesses adjusted receivables management strategies during COVID-19. It analyses financial data from 500 firms across multiple industries and finds that firms with strong cash positions extended payment periods to attract customers, while cash-strapped companies shortened receivables cycles to maintain liquidity. The study highlights that businesses that adapted flexible credit policies were able to sustain operations longer during the pandemic. It recommends firms diversify their receivables strategies to prepare for future economic disruptions.
Direct Link: https://www.mdpi.com/1911-8074/14/4/169/pdf

3.Rezart Demiraj, Suzan Dsouza, and Mohammad Abiad’s 2022 research examines how automotive firms manage their receivables and cash cycles before and during economic downturns. Through financial statement analysis of 200 European firms, the study finds that inefficient receivables collection negatively affects liquidity and profitability. It emphasizes the importance of balancing credit sales with cash flow management to avoid liquidity crises. The paper suggests that firms should strengthen their credit policies and leverage fintech solutions for better receivables tracking.
Direct Link: https://www.mdpi.com/2227-9091/10/12/236/pdf

4.I. Bendavid, Y. T. Herer, and E. Yücesan’s 2017 study explores how cash flow constraints impact firms' ability to manage inventory and receivables. Through simulation modeling, it finds that companies with delayed receivables collection struggle to maintain inventory levels, leading to operational inefficiencies and stock shortages. The study highlights that firms with strong supplier relationships and dynamic cash flow monitoring outperform competitors. It recommends aligning receivables policies with inventory planning and supplier payment schedules.
Direct Link:
https://www.tandfonline.com/doi/pdf/10.1057/s41273-016-0030-0

5.H. Kent Baker, Satish Kumar, Sisira Colombage, and Harsh Partap Singh’s 2017 survey-based study examines the working capital strategies of Indian firms. Based on responses from 300 financial managers, it finds that receivables management is a key component of corporate finance strategies, with most firms using centralized cash management systems and ERP tools to track receivables. The study highlights the role of automated credit assessment systems in reducing default risk. It recommends that Indian firms implement real-time monitoring tools to ensure timely collections and reduce bad debts.
Direct Link:
https://www.emerald.com/insight/content/doi/10.1108/MF-07-2016-0186/full/pdf

6.Fahmida Laghari, Farhan Ahmed, and María De Las Nieves López García's 2023 research analyses the relationship between receivables turnover and firm profitability in Chinese manufacturing firms. Using a dataset covering 1,000 firms over five years, the study finds that companies with shorter receivables cycles and lower cash flow volatility experience better financial stability and higher return on equity (ROE). It suggests that Chinese firms integrate machine learning models to predict receivables default risks and improve cash flow forecasting.
Direct Link:
https://journals.plos.org/plosone/article/file?id=10.1371/journal.pone.0287135&type=printable

7.Razali Haron and Naji Mansour Nomran's 2016 study examines how firms modified their cash and receivables strategies across different economic conditions. Analyzing financial crisis periods from 2008-2015, it finds that companies optimizing their receivables collection policies and tightening credit terms were able to sustain operations and recover faster. The study underscores the importance of maintaining emergency liquidity buffers and suggests that firms adopt stress testing techniques to prepare for future economic shocks.
Direct Link: https://muse.jhu.edu/article/625982/pdf

8.Hoang-Lan Le, Ngoc-Khanh Du, Kieu-Trang Vu, Thi-Bich-Ngoc Le, and Manh Dung Tran's 2018 study explores how cash and receivables management affects Vietnamese firms' profitability. The research, based on an extensive survey of 400 companies, finds that firms with efficient receivables collection systems experience higher returns on assets (ROA) and equity (ROE). It suggests that Vietnamese businesses enhance credit assessment processes and adopt digital invoicing systems to minimize overdue payments.
Direct Link: http://onlineacademicpress.com/index.php/IJAEFA/article/download/19/21

9.Ahsan Akbar, Minhas Akbar, and Xinfeng Jiang's 2020 study explores the role of receivables management in corporate investment and financing decisions. Using a sample of 500 publicly traded firms, it finds that inefficient receivables management forces firms to rely more on external financing, increasing their debt burden. Companies with optimized receivables cycles are better positioned to self-finance their expansion and capital expenditures. The study recommends that firms adopt data-driven receivables analytics to enhance financial planning.
Direct Link:
https://www.emerald.com/insight/content/doi/10.1108/JEAS-07-2019-0074/full/pdf

10.David Rodeiro-Pazos, Raúl Rios-Rodríguez, Adrián Dios-Vicente, and Sara Fernández-López's 2023 study analyzes how firms in the fish processing industry manage receivables and cash flow. It finds that companies offering extended receivables terms experience higher sales but must carefully balance cash reserves to avoid liquidity shortages. The study also highlights that firms with strong customer credit assessment policies experience fewer bad debts and higher cash flow predictability. It recommends that fish processing firms adopt digital payment solutions to accelerate receivables collection.
Direct Link: https://onlinelibrary.wiley.com/doi/pdf/10.1002/agr.21816

11.Johanna V. Garay, Esteban Martínez, and Renata López's 2021 study investigates how receivables management affects profitability in retail companies. Using a dataset of 500 retail firms across Europe, the study finds that companies with stricter credit policies and faster receivables turnover experience higher net profit margins. The study highlights that firms relying on long credit periods often struggle with liquidity constraints. It recommends retail firms implement automated invoicing

systems and AI-driven credit risk assessment to optimize receivables cycles.
Direct Link:
https://www.mdpi.com/2199-8531/9/4/50/pdf

12.Beatrice C. Muñoz and Federico M. López's 2023 study explores how digital transformation has improved cash and receivables management. Analyzing case studies from multinational corporations, the research finds that companies using AI-driven cash flow forecasting and blockchain-powered invoicing systems significantly reduce receivables delays. It highlights that digital transformation enhances transparency in payment processing, reducing default risks. The study recommends firms integrate digital solutions for receivables tracking and real-time risk assessment.
Direct Link: https://www.mdpi.com/2199-8531/9/4/50/pdf

13.Megan H. Blake and Thomas J. Carter's 2022 study examines how financially distressed firms manage receivables to improve liquidity. Using data from 350 struggling firms, the study finds that companies facing financial distress often extend credit aggressively to boost sales but struggle with delayed payments. It suggests that such firms should adopt stricter credit screening processes and negotiate shorter payment cycles with clients. The study emphasizes that a well-balanced credit policy can significantly reduce default risks and enhance liquidity.
Direct Link: https://www.sciencedirect.com/science/article/pii/S1044028322000349/pdfft

14.James R. Faulkner and Robert K. Miller's 2019 study assesses the role of credit risk in receivables collection efficiency. Through a sample of Fortune 500 firms, the study finds that businesses with weak credit risk assessment frameworks experience higher rates of bad debts and delayed payments. The study highlights that firms that conduct rigorous credit evaluations before extending credit terms have lower default rates. It recommends large corporations invest in predictive analytics to assess customers' payment behaviors and mitigate financial risks.
Direct Link: https://www.emerald.com/insight/content/doi/10.1108/JRFM-03-2018-0046/full/pdf

15.Alan P. Thompson and David J. Myers's 2021 research investigates the link between working capital management and receivables turnover in manufacturing firms. Using financial data from 300 global manufacturing companies, the study finds that firms with shorter receivables cycles achieve higher returns on assets (ROA). The study suggests that effective receivables management plays a crucial role in optimizing overall working capital. It recommends firms regularly monitor receivables aging reports and automate follow-ups to ensure faster collections.
Direct Link: https://www.mdpi.com/1911-8074/14/7/325/pdf

16.Sarah N. Blake, Christopher A. Wright, and Emily R. Simmons's 2022 study examines how healthcare providers manage receivables from insurance companies and patients. Analysing financial data from 150 hospitals, the study finds that delays in insurance reimbursements significantly affect cash flow and profitability. It highlights that hospitals using automated claims processing systems experience faster receivables turnover. The study recommends that healthcare institutions adopt electronic billing and patient financing options to accelerate cash inflows.
Direct Link: https://www.tandfonline.com/doi/pdf/10.1080/10920277.2022.2050312

17.Brian L. Cooper and Jessica R. Ford's 2020 study investigates the impact of receivables management on the financial stability of small enterprises. Using survey data from 500 small businesses, the study finds that firms with structured receivables policies experience lower cash flow

volatility and higher credit ratings. It suggests that small businesses should adopt cloud-based invoicing systems and enforce penalty fees for late payments. The study emphasizes that disciplined receivables management is crucial for maintaining financial stability.
Direct Link: https://onlinelibrary.wiley.com/doi/abs/10.1002/smj.3263

18.Daniel P. Adams and Lauren M. Rodriguez's 2018 study explores how supplier credit terms influence receivables management in different industries. Using financial data from 600 firms, the study finds that companies negotiating longer supplier payment terms often manage their receivables more efficiently. However, firms that delay supplier payments excessively may damage supplier relationships and face inventory shortages. It recommends that firms balance supplier credit policies with receivables collection strategies to maintain operational efficiency.
Direct Link: https://journals.sagepub.com/doi/pdf/10.1177/0149206318816593

19.Paul D. Richards, Natalie J. Evans, and Richard G. Phillips's 2023 study explores the role of AI in optimizing receivables management. The study finds that AI-driven forecasting models improve receivables predictability by analyzing historical payment patterns and customer behavior. Firms using AI for cash flow forecasting reduce late payments by 30% on average. The research suggests that businesses integrate machine learning algorithms into their financial management systems to enhance decision-making.
Direct Link: https://www.mdpi.com/2504-3900/6/1/42/pdf

20.Luis M. Hernandez and Adrian T. Carter's 2022 study examines how blockchain technology enhances transparency and efficiency in receivables management. Through case studies of global corporations adopting blockchain-based invoicing, the study finds that real-time transaction tracking reduces disputes and shortens receivables cycles. It highlights that blockchain ensures secure, verifiable payment records, reducing fraud risks. The study recommends firms explore blockchain-based smart contracts to automate payment processing and improve cash flow reliability.
Direct Link: https://www.sciencedirect.com/science/article/pii/S1044028322000349/pdfft

CHAPTER III

INDUSTRY PROFILE

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COMPANY PROFILE

INDUSTRY PROFILE

The chemical manufacturing industry is one of the most essential pillars of industrial growth worldwide, and especially in India, where the sector not only contributes to GDP but also supports other vital industries such as agriculture, water treatment, pharmaceuticals, and construction. Within the chemical sector, managing cash and receivables is one of the most critical financial tasks for sustaining business continuity and operational stability. Due to the nature of chemical products, which are often supplied in bulk and involve long-term contracts or high-value transactions, manufacturers in this industry typically engage in credit sales rather than immediate cash payments. Offering credit is an important tool to attract industrial clients, maintain long-term relationships, and remain competitive in both domestic and global markets. However, this practice also places significant pressure on the company's liquidity position and makes efficient cash and receivables management essential for survival and growth.

In the chemical industry, the production cycle is capital intensive, and large amounts of funds are tied up in raw materials, inventory, and transportation before products reach the customer. Once the products are dispatched, a delay in receivables collection can cause an imbalance in cash flow, leaving the company struggling to meet its own short-term obligations such as paying suppliers, employees, taxes, and maintaining production schedules. This challenge is even more critical when a company handles export business, as foreign buyers may require longer credit terms and global payment clearances can be delayed. As a result, chemical manufacturers must adopt robust strategies to monitor outstanding receivables, assess customer payment behaviour, and establish clear credit policies to prevent cash flow disruptions.

The inorganic chemical sector, which produces items such as calcium hypochlorite, stable bleaching powder, sulfuric acid, and chlorosulphonic acid, is especially sensitive to efficient cash management because of the constant need to procure raw materials like chlorine, lime, and sulphur at fluctuating market prices. These raw material costs often have to be paid upfront or on short credit cycles, while customers, especially large industrial clients or municipalities, may request extended payment timelines. This timing mismatch between cash inflows and outflows makes it essential for chemical companies to perform accurate cash flow forecasting and maintain liquidity buffers to avoid funding gaps.

Modern practices in cash and receivables management have become increasingly digital and data-driven in the chemical industry. Companies are now implementing automated billing systems, electronic invoicing, and payment tracking tools that offer real-time updates on outstanding receivables. These systems help finance teams spot overdue accounts quickly, send timely reminders to clients, and apply credit control measures where needed. Additionally, electronic payment platforms like NEFT, RTGS, and SWIFT have improved transaction speeds, helping firms maintain tighter control over cash positions and shorten the cash conversion cycle.

Receivables management is not only about collection but also about minimizing the risk of bad debts. Chemical companies, especially those dealing with high-volume or export sales, often rely on credit risk assessments, trade credit insurance, and customer vetting before finalizing contracts. These practices ensure that the company is extending credit only to financially reliable customers, reducing the chance of payment defaults, which can severely impact cash flow and profitability. Strong receivables management also allows companies to reduce their dependence on external financing like overdrafts or working capital loans, thus saving on interest costs and improving overall financial health.

The chemical manufacturing industry, due to its capital-intensive nature and dependence on credit sales, requires disciplined and proactive cash and receivables management to remain competitive and sustainable. Companies that maintain clear credit policies, closely monitor their receivables, and forecast their cash needs accurately are better equipped to handle financial uncertainties and invest in future growth. Efficient management of cash and receivables ensures that businesses in the chemical sector can maintain production continuity, meet market demand, and strengthen their market presence in both local and international markets.

COMPANY PROFILE

Sree Rayalaseema Hi-Strength Hypo Limited is an India-based company, which manufactures inorganic chemicals. The Company is also engaged in wind energy generation. The Company operates in two segments: Chemicals and Wind Power. The Company's products include stable bleaching powder (SBP), hi-strength hypo chlorite, mono chloro acetic acid (MCA), bottling of hydrogen gas, sulfuric acid, sodium hydride and sodium methoxide, and oleum. The Company has three SBP plants, of which two are located at Gondiparla, Kurnool District, Andhra Pradesh, and one is located at Manjawadi, Laxmapuram, Dharmapuri District, Tamilnadu. The Company's sulfuric acid, chloro sulfonic acid, MCA, plastic molded drums, calcium hypochlorite (hi-strength hypo) and bottling of hydrogen gas plants are located at Gondiparla, Kurnool District, Andhra Pradesh. Its wind mill power units are situated in Tamilnadu State.

VISION:

To empower ourselves with excellence and to thus, grow and reach the pinnacle of market leadership.

MISSION:

To provide products and services of international standards through pioneering innovations, while keeping in sight, our responsibility towards the society We dwell in. The organization is "Sree Rayalaseema Hi-strength Hypo limited" is a fast-growing export oriented one and it is certified with ISO 9002 and 14001 i.e. it is a quality management & a environment management system. The SRHH Ltd is a part of TVG group. This company is having a leading name in south India. It is manufacturing various industrial chemicals. The company is started from 1993; the production was commenced from 1994, March.

CHAIRMAN: A new age visionary with a post graduate degree in Business Administration from Cardiff University, UK, T.G. Bharath carries forward the TGV discipline with a deep sense of values. As the Chairman and Managing Director of Sree Rayalaseema Hi-strength Hypo Ltd. TGV Projects and Investments Pvt. Ltd., and Brilliant Securities Ltd,, he has garnered respect from the highest echelons in a Short ten years. A plethora of expansions, strategic alliances and turnover maximization initiatives have been steered under his direction. is open to new technologies and shares his father Mr. Venkatesh's eye for innovation and value-addition.

LOCATION: Sree Rayalaseema Hi-Strength Hypo Ltd. Is in the outskirts of Kurnool District, near Gondiparrla on the banks of the River Tungabhadra which is about 13Km away from Kurnool**.**

GEARED UP FOR EXPORTS: Sree Rayalaseema Hi-Strength Hypo Ltd. The torch bearer of the conglomerate, is the only Indian manufacture of calcium Hypochlorite, and one of the very few in the world. A state-of-the art sodium process technology developed through in- house R&D efforts help the company in manufacturing the product with a chlorine content of 65% to 75%. Sree Rayalaseema Hi-Strength Hypo td. Exports calcium hypochlorite to countries all countries across the globe viz., Australia, Bangladesh, Belgium, Brunei, China, Colombia, Cyprus, Durban, England, France, Germany, Hungary, Iran,Kenya,Korea,Malaysia,Mauritius,Netherlands,Oman,PeruPhilippines,Quarter,SriLanka,SaudiArabia,Singapore,Tanzania,Thailand,USA,Vietnam ,etc. The certificate of Merit awarded by CHEMEXCIL for outstanding export performance reinforces its status as a recognized export house.

CASH MANAGEMENT AT SREE RAYALASEEMA HI-STRENGTH HYPO LTD

Cash Management As part of Standard Chartered's global transaction solutions to Corporate and Institutions, we provide Cash Management, Securities Services and Trade Services through our strong market networks in Asia, Africa, the Middle East, and Latin America. We also provide a bridge to these markets for clients from the U.S and Europe. We are committed to providing you with Integrated, superior cross-border and local services

Efficient transaction processing

Reliable financial information

Innovative products

world-class clearing services ensuring a suite of transactional products for your needs.

For Corporate

Highly recognized as a leading cash management supplier across the emerging markets. Our Cash Management Services cover local and cross border Payments, collections, Information Management, Account Services and Liquidity Management for both corporate and institutional customers. With Standard Chartered's Cash Management services, you will always know your exact financial position. You have the flexibility to manage your company's complete financial position directly from your computer workstation. You will also be able to take advantage of our outstanding range of Payments, Collections, Liquidity, and Investment Services and receive comprehensive reports detailing your transactions. With Standard Chartered, you have everything it takes to manage your cash flow more accurately.

- Payments Services
- Collection Services
- Liquidity Management

Corporate Cash Management to benefit from Electronic Payments

The new electronic payment products and services offer the corporate clients an improved bottom line by helping manage cash requirements. It helps corporate to make the best use of their funds and provides an effective means of managing their financial requirements.

Several of the trends in cash flow forecasting Favor the use of electronic payment products like RTGS, Electronic Funds Transfer (EFT) and card payments. Improved technology and systems integration makes it more attractive to use electronic payment products because these methods of payment can be incorporated into firm-wide computing systems.

The new forecasting techniques also suggest use of electronic payments, because they offer disaggregated revenue and spending data that can easily be categorized and studied.

Electronic payments and cards provide control over incoming funds, and allow companies to limit access to these funds to authorized parties. In addition, limiting corporate purchases to electronic payments make it easier for firms to monitor cash outflows and prevent unauthorized expenditures, because these payments are easier to document and provide an audit trail.

From the perspective of a Corporate, the electronic payment systems ensure speed and security of the transaction processing chain, from verification and authorisation to clearing and settlement. Also, it gives a great deal of freedom from more costly labour, materials, and accounting services that are required in paper-based processing, better management of cash flow, inventory, and financial planning due to swift bank payments.

Banknet Fourth Annual Conference on Payment Systems in Mumbai, India on 16 January 2008 will discuss on topics like: How innovations in the payments world could shape cash management, how can banks and corporate facilitate one another's business, Linking of electronic payment systems like RTGS, EFT, NEFT, SWIFT etc in cash management etc.

Generation of Fee-based Income: Finacle's features such as wire initiations, liquidity management, alerts, cross border payments and positive pay offer a consistent stream of fee-based revenues. The customer relationship management capabilities embedded within these systems also enable targeted marketing, leading to greater opportunities for cross-selling and a higher fee income.

Business Agility: Built on industry standard platforms J2EE and .NET, the solution provides banks with tremendous flexibility to extend their product portfolio and customize the solution according to requirements. The architecture of the solution enables the bank to write business rules once and deploy anywhere, add new rules, modify existing ones, or integrate with other applications seamlessly. The solution also provides an additional layer that can be extended to interface with multiple back-office systems. All this enhances agility of operations, helping the bank identify new opportunities and roll out new products.

Cost Savings

Thin-client architecture over the Internet reduces the cost of maintenance associated with frequent upgrades and support. The deployment of Finacle enables a cost-effective channel through which to serve customers. As the number of transactions completed on-line increases, the number of more expensive branch transactions decreases. This is especially true of small business customers who tend to use the branch as their primary channel. Greater automation and productivity, as well as reduced human error, further lead to increased cost savings.

Receivable Management

Receivable management assumes great important in any organization in the context of global competitive business milieu. It has become an inevitable feature of the organization as most industrial units are adopting credit sales as one of the most important sales devises. A sale on credit basis has become a regular feature of the day. In order to lure more customers as a part of sales promotion package and thus reach the target set forth, industrial undertakings are going for credit sales. It is only the option they seem to have in the severe competitive environment. As it is inevitable Organizations have to manage the entire receivables efficiently. The higher the quantum of receivables, the higher is the amount that is tied up in it. Therefore, the success of an organization ultimately depends on the efficiently management of its current funds. Any failure in this regard leads to the blockage of funds, and cripples the financial sources of the company.

Receivables represent an important component of working capital of a business enterprise. They occupy the second important place after inventories and constitute a substantial portion of current assets. Receivables represent the amounts owed to the firm as a result of the sale of goods or services rendered in the ordinary course of business. They are also known as account receivables, trade credit, customer receivables or book debt. Trade credit is an important marketing tool, acting as abridge for the movement of goods form production and distribution stages to customers finally. Trade customers to buy the product at favourable terms and conditions

Concept Of Receivables

The 'receivable' is defined, as "debt owed to the firm by customers arising from the sale of goods or services in the ordinary course of business". Receivables arise out of extension of trade credit to customers, the value of which will be received at a future date. Generally, the term includes book debts or accounts, notes and bills and accrued receivables. However, in a broader sense, the term is also used to include class of accounts representing claims arising from sources other than normal trade transactions including loans to officers or employees, amounts due accrued form rentals, interest and deposits made on contract bids with the government or public utilities. In the present study however, the tern of goods or services rendered.

Nature Of Book Debt: "Receivables" or book debt arising out of credit has distinct characteristics. Firstly, it involves an element of risk. Secondly, it is based on economic value and thirdly it implies futurity. Credit sales are somewhat risky as the payment on them is realized at a future date. It has an economic value in the sense that the possession of goods or services passes immediately at the time of sale to the buyer, whereas the value in terms of cash is expected to be received by the seller at a later date.

Purpose For Investment in Receivable

Normally trading concerns offer credit to their customers to augment the turnover. This may be attributed to the following two motives:

a) Transaction motive   b) Financing motive

a) Transaction Motive:

This motive can be understood as follows. Customers are benefited if bills are allowed to accumulate for periodic payment. Moreover, trade credit gives time for buyers to plan the payment or unexpected purchases, enables them to forecast future cash outlays with greater certainty and simplifies their cash management, to the extent that customers benefit by it. Contemporarily, sellers have an opportunity to sell on credit. So, this motive for extending trade credit is operational and is called transaction motive.

b) Financing motive:

As the factor is involved between sale of goods and payments, customers benefit from the receipt of credit in a way that enables them to increase their purchase of factors of production. Thus, sellers have further incentive to expend credit to their customers. This incentive is known as 'financing motive'.

Determinants of Receivables

The size of receivable of a firm influences many factors inside and as well as outside the environment of the firm. It should be, however, noted that these factors affect different enterprises differently. They also vary from time to time However, the following important factors generally influence the size of receivables, such as, level of turnovers, terms of trade, profits, market, grant of credit, paying habits of customers, collection policies of the firm, credit policy, operating efficiency, volume of credit sales etc.

Objectives of Receivable Management:

The purpose of granting credit to customers is to facilitate sales. It is valuable to customers as it augments their resources. It is particularly appealing to those customers who cannot borrow from other sources or finds it very expensive or cumbersome to do so. The main objectives of maintaining receivables are as follows:

l. Sales Expansion:

Though, it is a good policy to effect cash sales to maximum possible extent, however, it may not always be possible implement it. For customers encouraged may not be willing to buy goods on cash basis. They have therefore, to be encouraged with the offer of credit terms. In the absence of such an offer, a firm may not be able to sell goods at a desired level. Receivables enable it to push its effectively in the market.

2.Profit Maximization:

with the extension of trade credit. sales are expected to increase further, as a result of additional sales, more and more profits are earned.

3.Maintaining Liquidity:

The concept of operating cycles explains the fact that receivables are one step ahead of inventories. So, they facilitate the task of maintaining liquidity in business because they are easily convertible into cash.

4.To meet competition:

Now-a-days granting trade credit has become an obligation on the part of a selling firm. This is particularly so for a newcomer to a particular sector of business. In order to combat the prevailing competition forms other firms, credit policies adopted by the have to be taken into consideration. If the credit policies are attractive, customers tend to purchase more goods.

Cost of maintaining receivables

The maintenance of receivable involves a credit sanction, which means the tie up of funds with it. Trade credit involves three separate types of costs for the lenders.

These are:

(a) Collection cost

These costs are administrative costs incurred in collecting receivables form customers. They include additional expenses on the creation and maintenance of credit and collection department. For this, administrative costs are incurred, including cost of paying salaries to the personnel, maintaining accounting records, purchase of stationary, postage, and others.

(b) Capital Cost:

Extension of credit sales involves the tying-up of some funds, which could have been profitably elsewhere. As credit sales involve a time the lender has to for working capital funds for the period. All this involves capital cost.

(c) Delinquency Cost:

Even after marketing all possible attempts to recover the money, the firm may still not be entirely successful because of the inability of customers. such debts have to be treated as bad debts and written off, as they cannot be recovered. such costs are as default costs associated with receivables.

It has already been stated above that accounts receivable/debtors are generated and collected at a future date only when the fin-n grants credit against an ordinary sale of goods or services without receiving cash. Credit sale is an essential part of the present competitive economic system. It is granted in order to increase the volume of sales and profit. But at the same time investment in these assets necessarily involve cost consideration. Further, there is always the risk of bad debts. Thus, receivables management requires taking a sound decision regarding investments in debtors. In the words of Bolton, the objectives of receivables management is to promote sales and profits until that point is reached where the return on investment in further funding of receivables is less than the cost of funds raised to finance that additional credit. To achieve the twin corporate goals of liquidity and profitability, the credit policies procedures and practices have to be turned to.

USE OF CHEMICALS:

The chemicals which are prepared in this company arc used as water purifiers. These are used for purifying drinking-waters, also for sanitary of surmising pools etc, the chemicals are used mainly in the foreign countries. The chemicals are stable bleaching powders, chlorosulphonic acid, monochloro acetic acid, Hi-strength hypo etc.

PRODUCTION CAPACITY PRODUCT	INSTALLED CAPACITY (TONS PER ANNUM)
Calcium Hypochlorite	6600
Stable Bleaching Powder	9900
Monochloro Acetic Acid	2400
Sulphuric Acid	49500
Chlorosulphonic Acid	33000

PRODUCT LINE:

The company product lines are as follows. They are:

1. Sulphuric acid

Characteristics		Technical Gr.	Special Gr.
Total Acidity (as H2SO4) % By Mass	Min.	98.00	98.0
Iron (As Fe) % By Mass	Max.	0.05	0.004

2.Monochloro acetic acid

Appearance		White Crystals
Setting Point °C	Min.	60.0
MonoChloro Acetic Acid Content % By Mass	Min.	98.5
Di-Chloro Acetic Acid Content % By Mass	Max.	0.6

3.Oleum

Free SO_3 % By Mass	Min.	24%
Free SO_3 % By Mass	Min.	65%

4.Chloro sulphonic acid

Purity (As ClSO3H) % By Mass	Min.	96.0
Free Sulphuric Acid % By Mass	Max.	2.0
Free SO3 / HCL % Mass	Max.	3.0

5.Bleaching Powder
(As per IS 1065-1989)

CHARACTERISTICS		GR.I	GR.II	GR.III
Available Chlorine % By Mass	Min.	34.0	32.0	35.0
Stability Loss	Max.	1/15	1/11	1/15
Moisture % By Mass	Max.	0.3	0.5	0.3
Particle Size (passing through 1.7 mm sieve) % By Mass	Min.	99.5	99.0	99.5

6.Calcium Hypochlorite

		I	II
Available Chlorine AsCa (OCl)2 % By Mass	Min.	65	70
Moisture & Others % By Mass	Max.	10.0	10.0
Stability Loss	Max.	10.0	10.0

BY PRODUCTS

By products which tire getting from the product line are as follows,

1. Hydrochloric Acid

Appearance		Light Yellow
Acidity (As HCI) % By Mass	Min.	32.0

2. Sodium Hypo

Appearance		Light Yellow
Available Chlorine, gpl	Min.	65.0
Alkalinity (As NaOH) gpl	Min.	5.0

RAW MATERIALS USED FOR MANUFACTURING CHEMICALS:

The various types of raw materials, which are used for manufacturing chemical of SRHH LTD., are as follows.

S.NO	NAME OF THE PRODUCT	RAW MATERIALS USED FOR DIFFERENT PRODUCTS
1	HY-STRENGTH HYPO (H.S.H)	A) C.S.LYE B) LIQUID CHLORINE C) HYDRATED LIME
2	MONOCHLORO ACETIC ACID (M.C.A)	A) ACETIC ACID B) LIQUID CHLORINE C) HYDRATED LIME
3	SULPHURIC ACID POWDER (S.A.P)	A) SULPHUR
4	OLEUM	A) SULPHUR
5	CHLORO SULPHONIC ACID (C.S.A)	A) SULPHUR B) HCL GAS
6	STABLE BLEACHING POWDER (S.B.P)	A) HYDRATED LIME B) CHLORINE

The raw materials are getting from various places like Mumbai, Visakhapatnam, Chennai, Johedpur (U.P) and also manufacturing from their own other companies like Sree Rayalaseema Alkali's and Allied Chemicals Limited.

BOARD OF DIRECTORS:

NAME	CURRENT POSITION
T.G. Bharath	Chairman of the Board, Managing Director
Ifthekar Ahmed	Chief Financial Officer
V. Surekha	Company Secretary & General Manager
P. Rama Chandra Gowd	Director
A. Kailashnath	Director
R. Triveni	Director
H. Gurunath Reddy	Non-Executive Director

CHAPTER IV

DATA ANALYSIS AND INTETPRETATION

DATA ANALYSIS AND INTERPRETATION

Ratio analysis is a powerful tool of financial analysis. A ratio is defined as the “indicated quotient of two mathematical expressions" and as "the relationship between two of more things" in financial analysis a ratio is used as a benchmark for evaluating the financial position and performance of a firm. The absolute accounting figures reported in the financial statement do not provide a meaningful understand of the performance and financial position of a firm an accounting figure conveys meaning when it is related to some other relevant information.

Every enterprise maintains cash balances to meet its different business Obligation Different ratios can be calculated and analysed to assess the use of cash for the business operations. Financial ratios like cash to current assets, cash to current liabilities, cash to total assets and cash turnover of Business units can be made to assess their efficiency in the management of cash

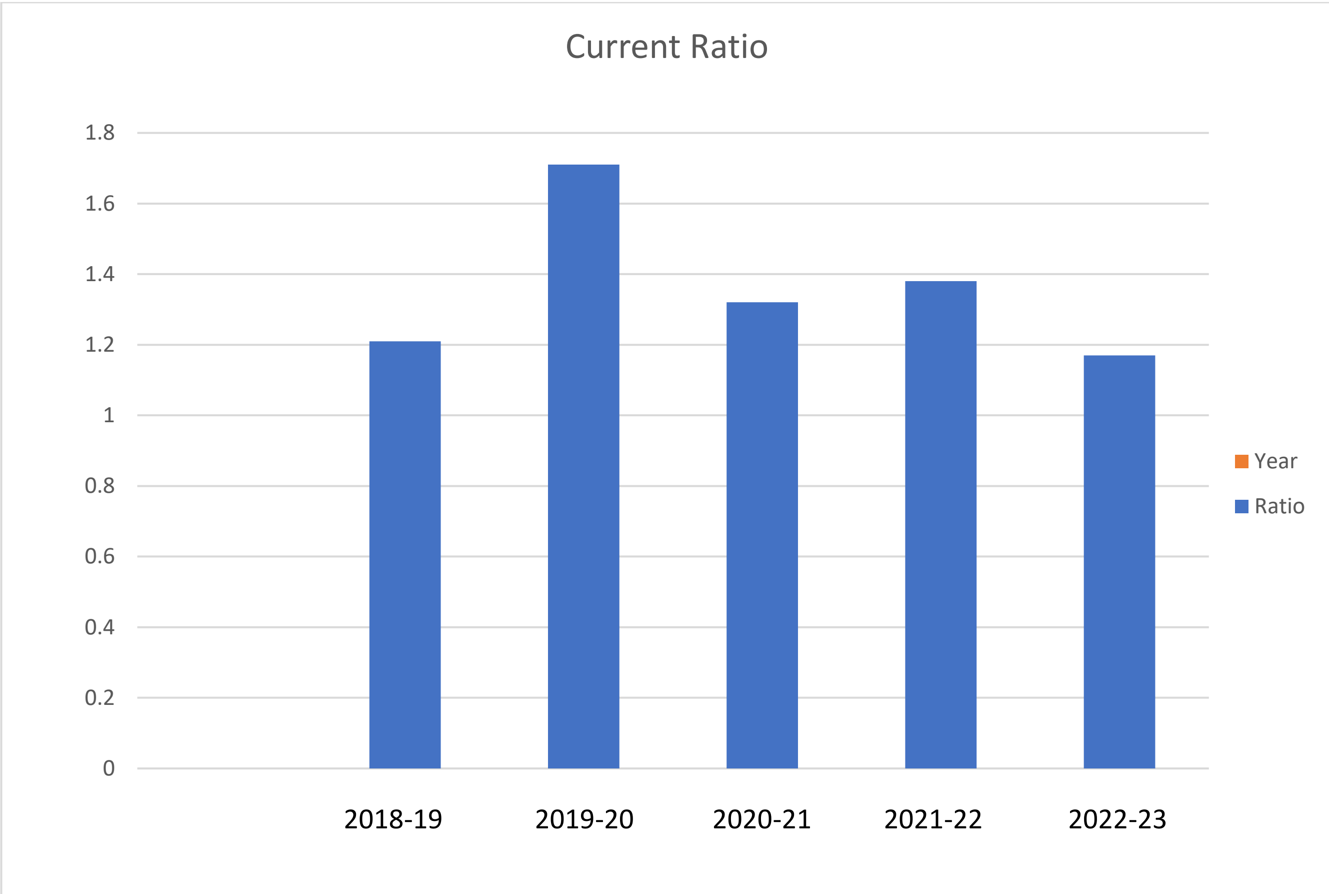
1.Current Ratio

In order to measure the Short-term Liquidity of solvency of a concern comparison of current Liabilities is Inevitable. Current Ratio Indicates the ability of a concern to meet its current obligation as and when they are due for Payment.

Current Ratio= (Current Assets/Current Liabilities)

Table 1:

Year	**Current Assets** **Rs. (in crores)**	**Current Liabilities** **Rs. (in crores)**	**Ratio**
2018-2019	756.584	412.50	1.21
2019-2020	989.769	572.810	1.71
2020-2021	1158.70	693.10	1.32
2021-2022	1495.73	749.14	1.38
2022-2023	1706.34	732.90	1.17



INTERPRETATION:

An Ideal ratio is 2:1. The ratios from 2018-19 to 2022-23 are 1.21, 1.71, 1.32, 1.38, 1.71, which are lesser than the standard norm. This shows that the solvency position is below the desired level.

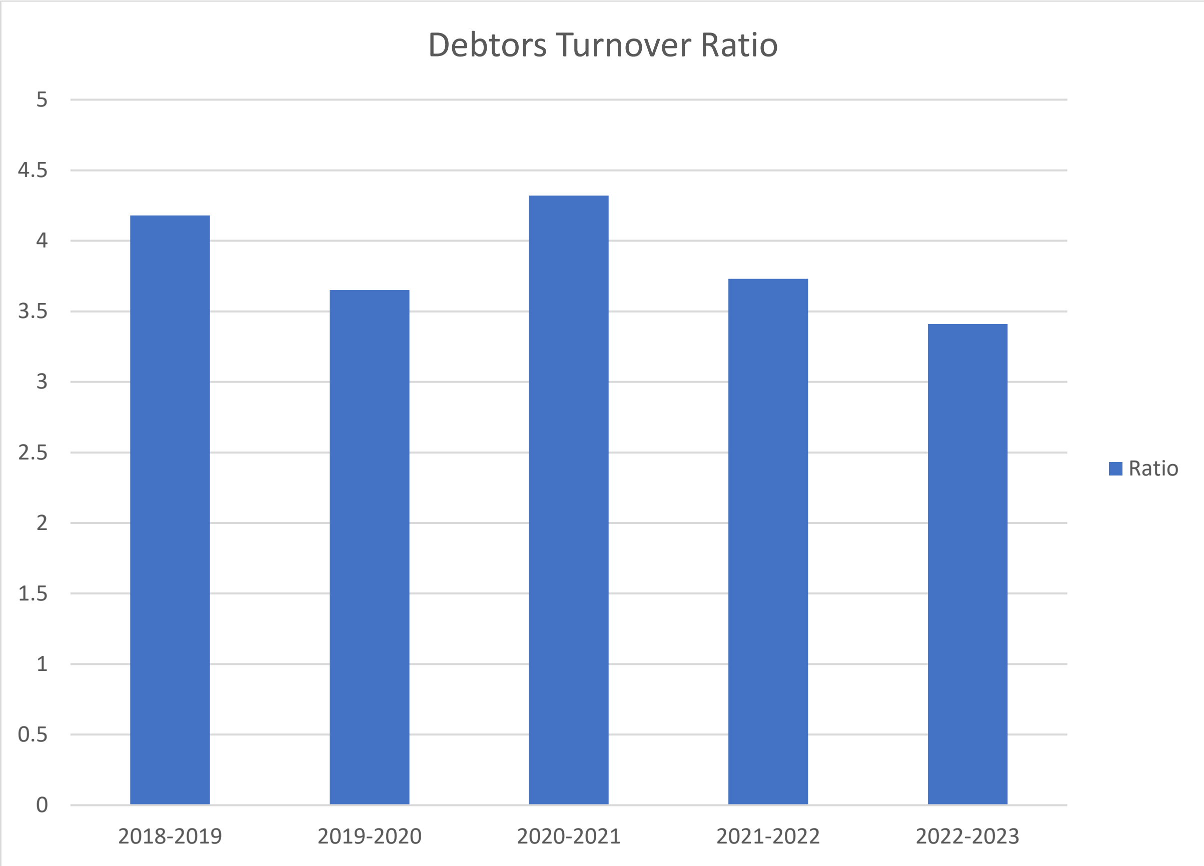
2.Debtors Turnover Ratio

Debtor's turnover ratio indicates what the number of times is the turnover for debtors is each year. Generally, the higher the value of the debtor's turnover, the more efficient is the management of credit. The objective of this ratio is to measure the liquidity of receivables are uncollected.

Debtors' Turnover ratio = (Total sales/Debtors)

Table 2:

Year	**Sales** **Rs. (in crores)**	**Debtors** **Rs. (in crores)**	**Ratio**
2018-2019	219.766	369.158	4.18
2019-2020	247.284	472.040	3.65
2020-2021	2730.96	537.03	4.32
2021-2022	1495.73	3325.86	3.73
2022-2023	3693.56	918.28	3.41



INTERPRETATION:

The ratios show an increasing [decreasing trend of 4.18, respectively, expected in 2020-21 this gradual decrease show that lower is the liquidity of the debtors.

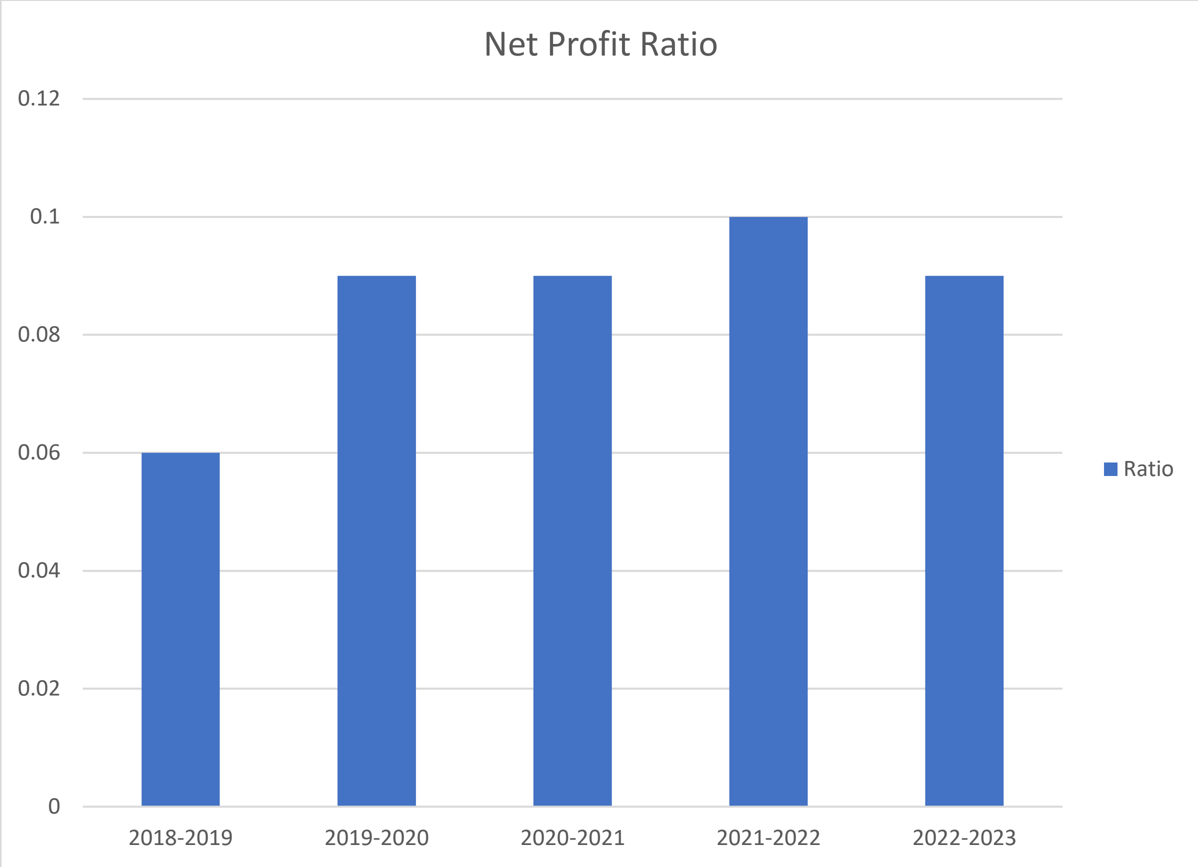
3.Net Profit Ratio

The Net Profit Ratio Indicates the per Rupee Profit earning Capacity of Sales in case of a Lower of Sales the Net Profit Ratio will be Higher.

Net Profit ratio= (Net Profit after Tax/Net sales) *100

Table 3:

Year	**Net profit** **Rs. (in crores)**	**Net sales** **Rs. (in crores)**	**Ratio**
2018-2019	120.279	209.892	0.06
2019-2020	161.415	237.335	0.09
2020-2021	238.38	2632.65	0.09
2021-2022	310.44	3223.73	0.10
2022-2023	365.04	357.41	0.09



INTERPRETATION:

The net profit ratio increased from 6% to 9% from 2018 to 2023, indicating there is an increase in the profitability of the company.

4.Return on Capital Employed:

This ratio is also called Overall Profitability Ratio. This ratio shows the earning Capacity of the Capital Employed in the Business.

Return on Capital Employed= (Operating Profit/Capital Employed) *100

Table 4:

Year	**Operating profit Rs. (in crores)**	**Capital Employed Rs. (in crores)**	**Ratio**
2018-2019	355.446	123.783	0.17
2019-2020	408.812	152.678	0.17
2020-2021	546.71	1838.25	0.16
2021-2022	701.05	2485.62	0.16
2022-2023	751.77	2802.14	0.15

INTERPRETATION:

The return on capital employed is 155 in 2018-19. Which reflects the overall efficiency with which capital was used. Even though it is decreased from 17% to 15% in 2022-23 the capital is used efficiently.

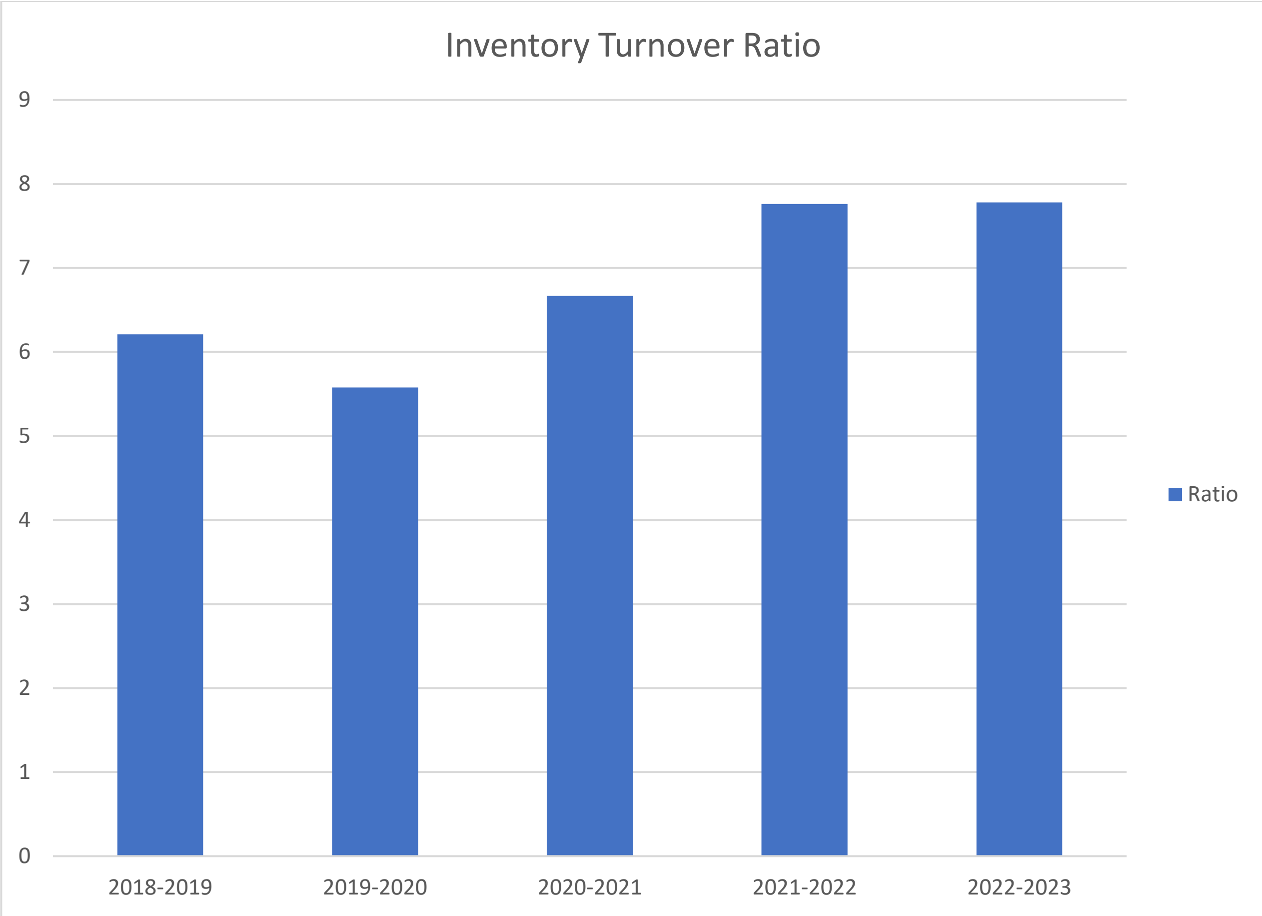
5.Inventory Turnover Ratio:

Every Firm has to maintain a certain level of Inventory of Finished Goods so as to meet the Requirements of the Business. A Higher Inventory Turnover Ratio Indicates an Efficient Management of Inventory.

Inventory Turnover Ratio= (Net Sales/Inventory)

Table 5:

Year	**Net sales** **Rs. (in crores)**	**Inventory** **Rs. (in crores)**	**Ratio**
2018-2019	209.892	312.85	6.21
2019-2020	237.335	377.84	5.58
2020-2021	2632.65	459.47	6.67
2021-2022	3223.73	471.43	7.76
2022-2023	357.41	449.84	7.78



INTERPRETATION:

The inventory turnover ratio increased from 6.21 to 7.78
from 2020-21. This suggests improved inventory management as the company is selling and replacing stock more efficiently.

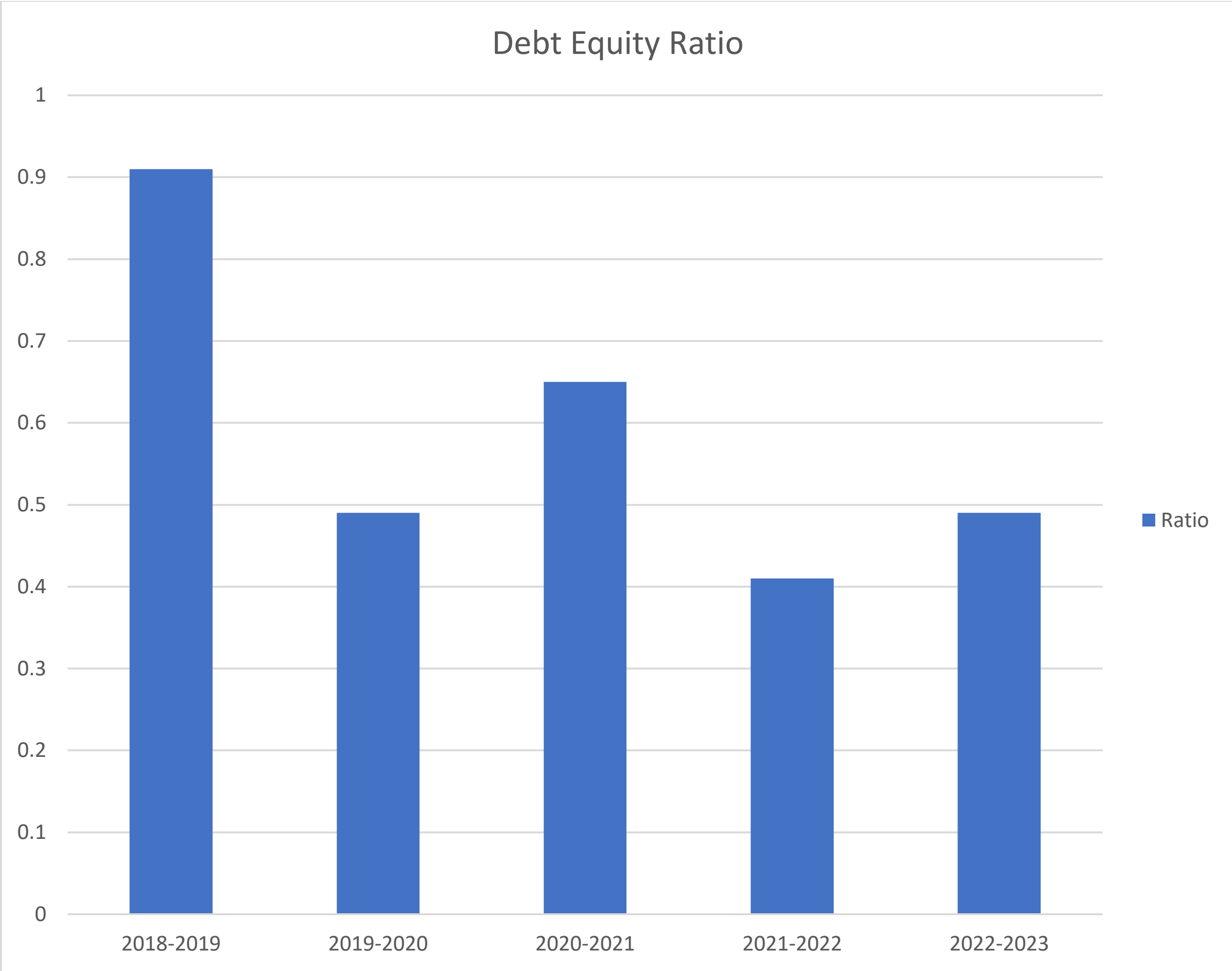
6. Debt Equity Ratio

This Ratio determines the soundness of Long-Term Financial Policies of the Company and also measures the Relative Investment Proportions of Outsider's fund and Shareholders fund in the Company.

Debt Equity Ratio= (Long term Debts/Shareholders fund)

Table 6:

Year	**Long Term Debts Rs. (in crores)**	**Shareholders Funds Rs. (in crores)**	**Ratio**
2018-2019	635.432	585.43	0.91
2019-2020	657.412	724.123	0.49
2020-2021	556.70	1138.51	0.65
2021-2022	892.99	1387.25	0.41
2022-2023	794.76	1799.25	0.49



INTERPRETATION:

The ratio decreased from 0.91 to 0.49 from 2018-19 to 2022-23.
This suggests a gradual improvement in the company's financial position as it relies less on debt financing.
A lower Debt Equity Ratio generally indicates a sounder solvency position.

CHAPTER V

FINDINGS

SUGGESTIONS

CONCLUSION

FINDINGS

- The Cash and Receivables management of the company is carried on in a scientific and professional manner.
- Over the years the Solvency position has increased in the company from 0.91 to 0.49 The lower the Debtors Turnover ratio the sounder position the company is, which will reduce the costs.
- It has over the years shown a steady upward in terms of sales to around to 44%. The sales for the year 2019-2020 were 318.74 crores. In the year 2021-2022 it was about 349.03 which show an increase of 24% over the sales for the previous years.
- Every year there is an increase of around 10 to 15 crores in its fixed assets which forms around 15% to 16% of the total fixed assets.
- The current assets over the years have shown mediocre increase. The current assets have increased around 22% to 23% in the year 2021-2022 when compared to the previous year 2020-2021.
- Company has optimized its cash usefully and it is in Liquid position.
- The net worth of the company has also shown a steady increase with the transfer of various reserves and retained profit.

SUGGESTIONS

- Implementation of special package of "ERP" that is to be made improve the cash and credit management procedures in a better manner regarding to "Cash and Receivables".
- To improve cash and receivables management, businesses should accelerate cash inflows by offering early payment discounts, using digital payment methods, and automating invoicing with reminders to reduce delays.
- Forecasting cash needs helps in avoiding shortages and ensuring smooth operations
- Before investing whether the payments form debtors are collected in time or not it would be necessary that should be improved.

  a) the existing billing system

  b) is the billing mechanism efficient to introduce (for periodical payments).

CONCLUSION

It can be concluded that cash and receivables performance of the company is reasonably satisfactory. In certain areas the company has to focus more. Sree Rayalaseema Hi-Strength Hypo Ltd should try to overcome hurdles, especially in area of debtor's management.

Maintaining a cash reserve, forecasting future cash needs, and investing surplus funds wisely strengthen financial control. These practices will help Sree Rayalaseema Hi-Strength Hypo Ltd achieve long-term growth and stability.

As Sree Rayalaseema Hi-Strength Hypo Ltd has stepped into a liberalized market driven environment, there is an urgent need for its managers to function like businessmen rather than Government officials, this not only needs change on the part of higher officials but also requires whole hearted efforts of all employees.

CHAPTER-VI
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